

A.U. Securities

Technology Risk & Controls Assessment

Executive Risk Assessment Report

Prepared for Educational / Portfolio Purposes
August 2026

1. Executive Summary

A.U. Securities was assessed across key technology and operational risk areas supporting its online brokerage environment. The review focused on customer authentication, privileged access, transaction processing, security monitoring, third-party services, business continuity, vulnerability management, and related control activities.

The assessment identified 12 risks based on inherent risk, including 2 Critical, 8 High, 1 Moderate, and 1 Low. The most significant concerns relate to customer account protection, controls over bank-account changes and withdrawals, privileged access, security monitoring, disaster recovery testing, and vulnerability remediation.

Overall, A.U. Securities has several important controls in place, including multi-factor authentication, role-based access controls, centralized logging, transaction reconciliation, vulnerability scanning, backups, and third-party oversight. However, a number of these controls have gaps in consistency, coverage, escalation, or review. These weaknesses increase the risk of unauthorized transactions, excessive access, delayed incident detection, operational disruption, and unresolved security vulnerabilities.

Management should prioritize controls around high-risk customer account changes, access reviews, logging and alert escalation, disaster recovery testing, and overdue vulnerability remediation.

2. Assessment Scope and Approach

The assessment covered the primary technology and operational processes supporting A.U. Securities' online brokerage environment. Areas reviewed included customer authentication, employee and privileged access, deposits and withdrawals, trade processing, security logging and monitoring, change management, third-party services, business continuity, data protection, vulnerability management, reconciliation, and customer-facing market data.

The assessment was performed by identifying key risks within each area, evaluating the controls designed to address those risks, and documenting any control gaps. Risks were rated using likelihood and impact scores, with higher scores representing greater potential business impact.

Key controls were then mapped to the identified risks in a Risk and Control Matrix. For each selected control, the assessment documented the control objective, control type, control owner, expected evidence, and an audit procedure that could be used to evaluate the control.

The assessment was designed as a simulated technology risk and controls review for educational and portfolio purposes. All company information, systems, transactions, users, and evidence referenced in the assessment are fictional.

3. Overall Risk Profile

The assessment identified 12 risks across the A.U. Securities environment. Of these, 2 were rated Critical, 8 were rated High, 1 was rated Moderate, and 1 was rated Low. The concentration of High and Critical risks indicates that several important business and technology processes depend on controls that are either incomplete, inconsistently performed, or in need of stronger oversight.

The two Critical risks relate to customer authentication and unauthorized money movement. These areas present the greatest potential impact because weaknesses could directly contribute to account takeover, fraudulent bank-account changes, unauthorized withdrawals, customer losses, and reputational damage.

High-rated risks were identified across privileged access, logging and monitoring, trade processing, data protection, change management, third-party risk, business continuity, and vulnerability management. These risks do not all represent immediate failures, but they indicate areas where stronger control consistency, review, testing, and escalation would reduce operational and security exposure.

The Moderate risk relates to transaction reconciliation and aging exceptions, while the Low risk relates to temporary inaccuracies or delays in customer-facing market data.

Risk Rating	Number of Risks
Critical	2
High	8
Moderate	1
Low	1
Total	12

4. Key Risk Themes

The assessment identified several recurring themes across the A.U. Securities control environment.

Customer Account Protection and Fraud Risk

Controls such as MFA, bank ownership verification, withdrawal monitoring, and customer notifications provide an important level of protection. However, stronger authentication is needed for higher-risk actions, especially changes to linked bank accounts and withdrawals following those changes.

Access Governance

Role-based access controls and approval processes are in place for employee and administrator access. The main weakness is inconsistent periodic review, which can allow users to retain access that is no longer appropriate for their current responsibilities.

Security Monitoring and Vulnerability Management

Centralized logging, automated alerts, vulnerability scanning, and remediation tracking are established. Gaps remain around logging coverage, alert review timeframes, and escalation of overdue High and Critical vulnerabilities.

Operational Resilience and Processing Controls

Trade validation, reconciliation, backups, and disaster recovery capabilities help reduce operational risk. Additional focus is needed on timely resolution of reconciliation exceptions and more complete disaster recovery testing across critical brokerage processes and third-party dependencies.

Third-Party and Change Risk

A.U. Securities relies on external providers for services such as identity verification, banking, trade execution, market data, and cloud infrastructure. Vendor oversight and change-management controls are in place, but consistent reassessment, documentation, and review remain important to reducing operational and technology risk.

5. Priority Recommendations

Based on the assessment, management should prioritize the following actions:

1. Strengthen controls over high-risk bank account changes and withdrawals

Require step-up MFA for new or modified external bank accounts and consider additional review or temporary withdrawal restrictions after higher-risk account changes.

2. Improve periodic access reviews

Perform scheduled reviews of employee and privileged access, remove permissions that are no longer required, and ensure terminated-user access is disabled promptly.

3. Strengthen security monitoring and escalation

Confirm that critical systems are sending appropriate logs to centralized monitoring, define clear review timeframes for high-risk alerts, and document escalation when suspicious activity requires investigation.

4. Expand disaster recovery testing

Perform regular end-to-end recovery testing that includes critical brokerage systems, customer data, and third-party dependencies. Results should confirm whether RTO and RPO targets were met.

5. Escalate overdue high-risk vulnerabilities

Track remediation deadlines for High and Critical vulnerabilities and require documented escalation when those deadlines are missed. Any delayed remediation should include formal risk acceptance and an expected resolution date.

6. Overall Assessment and Conclusion

A.U. Securities has a number of important technology and operational controls in place to support its brokerage environment. The assessment did not indicate that the control environment is ineffective overall, but it identified several areas where stronger consistency, oversight, and escalation are needed.

The highest-priority concerns involve customer account protection and unauthorized money movement because weaknesses in these areas could have a direct financial impact on customers and the firm. Additional attention should also be given to privileged access reviews, security monitoring, disaster recovery testing, and vulnerability remediation.

Addressing these areas would strengthen the company's ability to prevent unauthorized activity, detect issues earlier, recover from disruptions, and maintain more consistent control over critical brokerage operations.